

commentator puts as "looming like mountains". Theoretically, the office of the president is a ceremonial one, similar to that in India, while the real executive power lies with the prime minister. However, given the fact that Zardari is still holding on to his position as the co-chairman of the ruling PPP and inherits a presidency made powerful under the diktat of Musharraf, there is little doubt where the real power lies at the moment in Pakistan. And despite many calls for Zardari to resign as party leader and to restore the original structure of the Constitution as envisaged by those who drafted it, Zardari does not show any inclination to be-

forces—four missile strikes as well as an unprecedented US Special Forces land operation inside Pakistani territory that killed 20 civilians in the four days since the presidential election—threatens to upset the tenuous successes, with rising public anger against the violations of Pakistan's sovereignty.

On the economic front, the drift is threatening to turn dangerous. Pakistan's rupee has already lost over 25 per cent of its value in the last two months, stoking further inflation which now stands above 30 per cent. Foreign exchange reserves are down by half of what they were in December 2007 while the stock market has lost almost

issues," says political economist Akbar Zaidi. "I'm not even sure they have the ability, but at the moment they seem caught up in power politics and are not even paying attention."

And there are plenty more political distractions still to come. Primary among them is the relationship between PPP and Sharif's Pakistan Muslim League-Nawaz (PML-N), which is in power in the most populous province of Punjab. Secure in his stronghold, Sharif has asked PPP to withdraw its ministers from the provincial government and to sit in the opposition, as the PML(N) has done at the Centre. PPP is reluctant to cede all control of Punjab but any attempt at turning the tables there is likely to be met with a very strong reaction. Meanwhile, the smaller political parties are also looking for their pounds of flesh in return for supporting Zardari's candidacy. The issue of deposed Chief Justice Iftikhar Chaudhry—who the PPP does not want to restore since it would then have to demote Dogar—is also hanging fire.

There is also the issue of how to deal with neighbours like India and Afghanistan, with whom relations have nosedived in recent months. Karzai's presence at Zardari's inauguration—at his own invitation—seemed to signal an attempt at a new beginning. But there is no love lost between Karzai and the Pakistan establishment, especially after he blamed the ISI for the bombing of the Indian Embassy in Kabul earlier this year. Most see him as ineffectual at best, and beholden to Indian and American neocon interests at worst. At a press conference after his inauguration, Zardari also disclosed that back-channel contacts with India had been continuing "with all political forces inside and outside Parliament on board" and tantalisingly promised that "before the month is over, before the Congress Government goes into elections, we shall have some good news". With Kashmir once more in turmoil—a ferment that took even the Pakistan establishment by surprise—it is difficult to see Pakistan's powerful military establishment now making the kind of concessions its former head, General Musharraf, was willing to entertain and push through. Zardari has his task cut out. The big question: Is he cut out for the task? ■



PARTING WAYS: Nawaz Sharif (left) greets Zardari on his victory

come merely a figure-head.

The two most pressing issues are the war against rising militancy and Al Qaeda in Pakistan's north-west, particularly in the Federally Administered Tribal Areas (FATA) bordering Afghanistan, and the severe downturn in the economy. Former information minister and head of the newly-formed Awami Muslim League, Sheikh Rashid, says Pakistan's foremost problems can be summarised as "FATA and *ata* (flour)". But neither is a joking matter. For one, the army's operations against militants in areas such as Bajaur Agency and the North-West Frontier Province's Swat district have met with some success but have also seen hundreds killed and hundreds of thousands displaced. In addition, the increasing aggression from US

a third of its value. Much of the country faces power blackouts for up to 12 hours every day, causing industry to suffer massive losses and a drop in desperately-needed export earnings. On the day of Zardari's inauguration—under pressure from the World Bank and International Monetary Fund to cut subsidies—the Government announced a hike of over 30 per cent in power rates, which is bound to further impact inflation and cripple industry. Widening deficits and dwindling credit ratings have exacerbated matters. But most economic analysts agree that the root of the problem is political instability. "There does not seem to be any coherent focus on tackling economic